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CALL FOR PEACE
A protest in Istanbul, Turkey, against Russia's invasion of Ukraine, Mar. 6

KEMAL ASLAN/REUTERS

SANCTIONS ON RUSSIA

THE INDIAN BYPASS

By M.G. Arun

The sanctions imposed by the US and other nations on Russia in the aftermath of its invasion of Ukraine will not just hurt Russia but several other countries, including India, that have strong bilateral trade connections with the country. Trade between India and Russia stood at $9.4 billion or Rs 72,192 crore in the April-December 2021 period. Key imports include defence equipment, crude oil, mineral oils, agricultural products, coal, pearls, fertilisers and nuclear reactors.

India imported $2 billion or Rs 15,360 crore worth of crude oil from Russia between April and December last year. While there is no ban yet on the imports of crude from Russia, the issue is with the way payments are being made. A range of Russian banks have been cut out of the SWIFT (Society for Worldwide Interbank Financial Telecommunication) international payments system by the European Union, the US, UK and Canada, in a bid to choke Russia's trade with the world. An alternative to this payments protocol could be Russia's own SPFS (System for Transfer of Financial Messages), which the country developed after the West threatened to cut it off from SWIFT in 2015. However, it is not clear if this alternative payment mechanism has been approved by India. Desperate Russian companies are reportedly offering heavy discounts, of over 25 per cent, to India on crude oil imports at a time when Brent crude oil has crossed $130 a barrel. State-run Rosneft is one of the biggest oil companies that supply crude to India. In December 2021, Rosneft and Indian Oil Corporation (IOC) signed a contract to supply up to two million tonnes of oil to India through